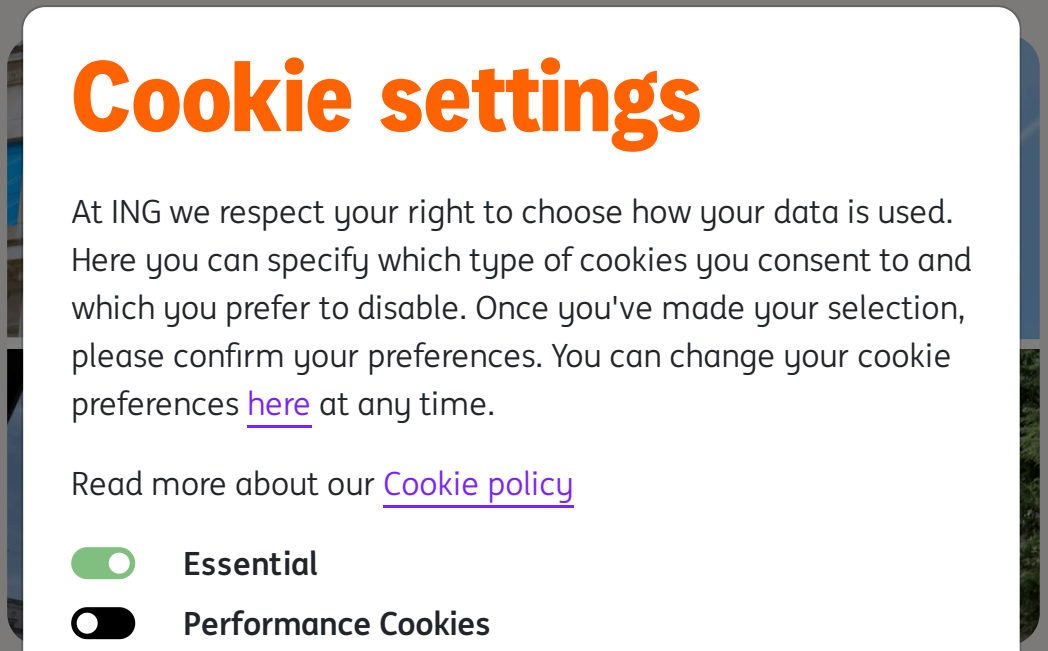
Our take on what could be next for the Federal Reserve, the European Central Bank, the Bank of England and the Bank of Japan over the coming months



James Knightley, Carsten Brzeski, James Smith and Chris Turner



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hikes, while four of 18 thought they would need to raise rates at both the October and December meetings. The other 12 all expected one further rate rise this year.

Senior Fed officials have since suggested that they can take their time on rate hikes with no need for moves at consecutive meetings, which means October's FOMC meeting is widely expected to see policy left unchanged. We, like the market, expect a 25bp rate hike at the December meeting given inflation remains elevated and unemployment is low.

Nonetheless, the move higher in Treasury yields and the stronger dollar are contributing to tighter monetary conditions, which will weigh on growth. Given our inflation and jobs projections, we do not expect additional policy tightening in 2027, despite the market pricing in a further 50bp of hikes.

European Central Bank

A resilient eurozone economy and increasing headline inflation remain strong arguments for yet another ECB rate hike. Not necessarily at the October meeting, as the ECB prefers having the quarterly staff projections in its briefing notes when deciding on i
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September meeting has already had roughly the same impact on growth and inflation as an additional 25bp rate hike.

For France, it's closer to a 50bp hike. With bond markets doing the ECB's job, some central bank officials might be less keen to continue hiking than they were at the September meeting.

Bank of England

We now expect two rate hikes from the Bank of England – in November and February. Until now, the Bank has cast its decision not to cut rates, as implicitly planned before the Iran War, as de

facto tightening. But recent comments suggest it increasingly feels it needs to act.

The Bank's November inflation forecasts are likely to show CPI briefly above 4%, and that is likely to be the catalyst for a hike, citing previous research that inflation at these levels is historically more likely to trigger second-round effects.

But the case for hikes is still not compelling. With the jobs market still relatively cool, we're sceptical that wage growth is likely to react to higher energy prices anywhere near as much as it did four years ago. Interest rates are also more evidently restrictive than they are in
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monetary policy to provide some credible macro support to July's joint US-Japan intervention in the yen.

We see risks that the next hike could be pushed back into January, however. This allows the BoJ a little more time to monitor the economy. Prime Minister Sanae Takaichi's government remains set on a domestic demand push, and we have a slight preference that the next two hikes are backloaded into January and April, right before the consumption tax rate on food is cut to 1% from 8%.

Central banks

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